reduce the existing (income) gaps and inequalities that exist between households functioning in the peso economy and those that somehow earn hard currency and/or receive remittances from abroad."[7]

Another set of regulations attempted to undo the privileges that workers in the tourist economy had accrued. In January 2005, tourist workers were banned from taking gifts, accepting invitations, and accessing a spectrum of other benefits from the foreigners with whom they worked. Mesa-Lago and Díaz-Briquets and Pérez-López called the measures "draconian."[8] At the same time, though, Díaz-Briquets and Pérez-López seemed to concur with the Cuban government that "corruption in state-run companies, particularly those that operate with hard currencies in the tourism sector, seems to be out of control. Among the corrupt practices that are alleged to be common in the tourism industry are accepting commissions from foreign businessmen, nepotism, selling jobs, and misuse of official cars, expense accounts, and travel."[9]

Corrales explained the measures – which also included "penalties on the self-employed, heavy taxation of *paladares* [small private restaurants in people's homes], increased restrictions on foreign direct investment" – as simply a "decision to punish reform winners." While many Latin American countries had slowed or moved away from structural adjustment programs, he noted, few besides Cuba "have had an open policy of penalizing reform winners."[10] The number of self-employed dropped from a high of 208,500 at the end of 1995 to only 149,990 in 2004, and continued to fall as restrictions and taxation on them increased.[11]

Economists committed to the structural adjustment model criticized the brakes put on the market policies at the end of the 1990s. Jorge F. Pérez-López called the new direction "the return of ideology."[12] Corrales complained that "the uneven economic reforms served to mislead – in fact, completely fool – those actors who in the early 1990s were pressuring for deep economic and political opening. The reforms allowed the state to give the impression that the regime was moving